

INSIDE THE INDUSTRY

COMPASS CUT 1,000 AGENTS. THEN POSTED RECORD PROFIT.

Ninety-two million in net income. On purpose.

D.J. Paris
Keeping It Real Podcast

kale
Realty

learn more at joinkale.com

“

**COMPASS DIDN'T
GROW ITS WAY TO
PROFIT. IT CUT ITS
WAY THERE.**

A thousand fewer agents. \$4.3 billion in revenue anyway.

THE ONE NUMBER THAT BREAKS THE "MORE AGENTS" MODEL.

Revenue hit \$4.31 billion, up 109 percent year over year. Net income flipped from a \$39 million loss to a \$92 million gain.

Transaction volume more than doubled to 153,009 closings. All of it happened the same quarter Compass trimmed about 1,000 agents on purpose.

WHAT CEO ROBERT REFFKIN SAID OUT LOUD ON THE EARNINGS CALL:

- 1 "Is it unreasonable to expect that the company with the most listings is the number one place people search?"**

His actual quote, straight from the Q2 call.

- 2 Compass is betting listing volume beats agent volume.**

More listings, more search traffic, more leads for the agents who stay.

- 3 The agents Compass cut weren't producing.**

The growth came from the agents already closing deals, not from adding more names to the roster.

THE TAKEAWAY

YOU DON'T NEED COMPASS'S BALANCE SHEET TO RUN COMPASS'S ACTUAL PLAY.

Fewer priorities. Better execution. That's the whole model.